

Emotional Biases Defined and Illustrated

In Chapters 4 through 23, twenty behavioral biases, both cognitive and emotional, are discussed. Two types of cognitive biases were reviewed in Chapters 4 through 16. Belief perseverance cognitive biases were covered in Chapters 4 through 9, and information processing cognitive biases were covered in Chapters 10 through 16. Emotional biases are now covered in Chapters 17 through 23.

In each of the 20 bias chapters, the same basic format is used to discuss each bias, in order to promote greater accessibility. First, each bias is named, categorized as emotional or cognitive including subtype (belief perseverance or information processing), and then generally described and technically described. Note that in Chapters 17 through 23, which are the emotional biases, there are no subtypes. This is followed by the all-important concrete practical application, where it is demonstrated how each bias has been used or can be used in a practical situation. The practical application portion varies in content, consisting of either an intensive review of applied research or a case study. Implications for investors are then delineated. At the end of the practical application section is a research review of work directly applicable to each chapter's topic. A diagnostic test and test results analysis follow, providing a tool to indicate the potential bias of susceptibility. Finally, advice on managing the effects of each bias in order to minimize the effects of biases is offered.